CIMA Strategic Case Study

Mock Exam 4

Rotomyne

Unseen

Task 1 - Unseen case material

You receive the following email from the Chief Finance Officer (CFO).

From: Martin Jacobs, CFO
To: Senior Manager (SM)
Subject: Risk register, growth strategies and data security

Hi SM,

A risk audit has highlighted the need for a risk register. This would help in our risk identification and measurement (see attachment). That said, we would need more understanding of this risk management tool before we adopt it.

The risk register may also help with managing new risks facing us as we grow to keep up with global demand for our current products, for example from electric vehicle battery manufacturers. We could also take on more risk and pursue a new product or market growth strategy. To put this into perspective, it would be useful for the Board to be aware of all possible growth strategies and their risk level. This is so that we are aware of the risks of trying to grow!

The risk audit also identified that we should have cyber risk as a key risk. That said, we need to understand how we mitigate the risk of our data being compromised.

Given the above, ahead of my meeting with the Board, I need you to write a briefing note regarding the following:

- First, please describe the typical contents of a risk register, including how our principal risks log fits in, and discuss methods we could use to identify new risks.

[Sub task (1a) - 55%]

- Second, write a briefing note discussing the different growth strategies that we might pursue.

[Sub task (1b) - 25%]

- And last, discuss the controls that should be in place to improve data security.

[Sub task (1c) - 20%]

Kind regards,
Martin

Reference material

Email to the CFO from the Non-Executive Chair

From: Iresh Jayawardena, Non-Executive Chair
To: Martin Jacobs, CFO
Subject: Principal risk log review and risk audit outcomes

Hi Martin,

In a recent risk audit, a review of our principal risks log was undertaken. Caroline (NED) noticed that cyber risk was not identified as a principal/key risk, despite it being a focus area for most modern organisations. She said, as our data is stored in the Cloud, it is at risk of being stolen by hackers, which could lead to reputational damage as well as fines from the data regulator!

Further, it was observed that our principal risks log does not give an indication of the size of each risk (in a qualitative or quantitative manner). She pointed out that a risk score would help here. The difference in the risk score of the gross risk and net risk (residual risk) would also show the effect of the risk treatment method (based on TARA).

She mentioned that the above concerns of not identifying key risks and not measuring risks are best addressed by using a practical tool such as a risk register. To be honest I don't know too much about risk registers as they are not something we've used here before.

Kind regards,
Iresh

Task 2 - Unseen case material

A week later, the following email is waiting for you when you arrive at the office.

From: Martin Jacobs, CFO
To: Senior Manager (SM)
Subject: Project risks and currency risks

Hi SM,

Following your work last week, the Board is keen on creating a risk register. Another outcome of the Risk Audit relates to project risk reduction. Caroline (NED) suggested the introduction of post-completion audits (PCA) and effective project controls for future projects (see attached email).

Additionally, the Risk Audit highlighted concerns related to currency risk and the effectiveness of its mitigation by our treasury team. The negative currency fluctuations are lowering our annual profits and impacting our foreign currency reserve. Recently, the currencies of the two mines located in politically unstable countries have been quite volatile against the P$. This will further exacerbate the issue. We need to better understand and address our currency risk, in particular the management of transaction risk.

In consideration of the above, please write a briefing note in which you:

- Firstly, discuss the benefits of a PCA and also recommend controls to manage a project's time, cost and quality.

[Sub task (2a) - 55%]

- And secondly, discuss the different types of currency risks and the methods to mitigate the foreign exchange transaction risk.

[Sub task (2b) - 45%]

I will be discussing the issues with the Board later today, so I will need the information within the hour, please.

Many thanks,
Martin

Reference material

Email to the CFO from Caroline (Audit Committee)

From: Caroline Nguyen Ngoc, Non-Executive Director
To: Martin Jacobs, CFO
Subject: Post Completion Audit (PCA) and project control

Hi Martin,

Our project deadlines are usually very tight. However, as you may be aware, we have had a poor record of project implementations in recent years (e.g. project delays, cost overruns and inadequately trained staff affecting product and service offered).

In fact, the last two major projects (relating to an IT system and warehouse relocation) cost twice the initial proposed budget and led to unacceptable customer-side outcomes. Furthermore, both projects were completed over 6 months after the planned date.

I propose we should begin performing a Post Completion Audit (PCA) (also known as a Post-Implementation Audit) after each major project. Through this process of review, the PCAs could help us to stop repeating the same mistakes and improve delivery of future projects.

In addition, any future project (strategic or operational) would require effective controls to be in place to manage the constraints of time, cost, and quality. These controls should improve the successful delivery of the project.

Many thanks,
Caroline

Task 3 - Unseen case material

A week has passed and you just received the following email from the CFO.

From: Martin Jacobs, CFO
To: Senior Manager (SM)
Subject: International expansion options and business valuation

Hi SM,

Thanks for your input on managing our projects and currency volatility. This will help us as we are considering an international expansion project in a new country, Bigland. It has a rapidly growing electric vehicle battery industry that would require battery-grade lithium hydroxide such as ours, but it is politically unstable. Although a lucrative opportunity, we do need to understand the best way to enter the new geographic market (e.g. organically, via acquisition or by joint venture). Could you:

- Evaluate the different international expansion options and recommend, with reasons, the most appropriate expansion option for us.

[Sub task (3a) - 55%]

Also, an associate of Shaista (CEO), who works for the Porrland stock exchange listed Alt Energy Group, has let slip that the company is looking for further growth in the lithium industry through acquisition, and that we could be a prime target. This appears to be a hostile bid and would affect our own expansion plans.

If a bid offer is received, the CEO wants to know if this is reasonable. With this in mind, I have provided several company valuations based on different valuation methods (see reference material). Please can you also:

- Discuss the valuation methods used and their suitability, and recommend an approximate valuation.

[Sub task (3b) - 45%]

I need the information (in a briefing note) in 1 hour for a CEO meeting.

Many thanks,
Martin

Reference material

Email attachment - Company valuation

The company valuations are based on our net assets, earnings (using comparative P/E ratios), and discounted post-tax forecast cash flows.

These valuations are as follows:

- Asset based: P$8,828m (circa P$8.83/share)
- P/E based: P$22,584m (circa P$22.58/share)
- Cash-flow based: P$17,623m (circa P$17.62/share)

Notes:

The asset valuation is based on net assets as per the statement of financial position.

The P/E ratio used for the earnings based valuation is that for the industry. This has an average value of 12 over the past 12 months.

The post-tax cash-flows are discounted to present value using an estimated cost of equity for the industry of 15% after tax.

The post-tax cash-flows are forecasted to grow at 5% per annum for the foreseeable future.

There are 1 billion P$1 ordinary shares in issue.

Present value tables

Present value of U$1 i.e. $(1 + r)^{-n}$ where r = interest rate, n = number of periods until payment or receipt.

Periods (n)	Interest rates (r) 1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	.990	.980	.971	.962	.962	.943	.935	.926	.917	.909
2	.980	.961	.943	.925	.907	.890	.873	.857	.842	.826
3	.971	.942	.915	.889	.864	.840	.816	.794	.772	.751
4	.961	.924	.888	.855	.823	.792	.763	.735	.708	.683
5	.951	.906	.863	.822	.784	.747	.713	.681	.650	.621
6	.942	.888	.837	.790	.746	.705	.666	.630	.596	.564
7	.933	.871	.813	.760	.711	.665	.623	.583	.547	.513
8	.923	.853	.789	.731	.677	.627	.582	.540	.502	.467
9	.914	.837	.766	.703	.645	.592	.544	.500	.460	.424
10	.905	.820	.744	.676	.614	.558	.508	.463	.422	.386
11	.896	.804	.722	.650	.585	.527	.475	.429	.388	.350
12	.887	.788	.701	.625	.557	.497	.444	.397	.356	.319
13	.879	.773	.681	.601	.530	.469	.415	.368	.326	.290
14	.870	.758	.661	.577	.505	.442	.388	.340	.299	.263
15	.861	.743	.642	.555	.481	.417	.362	.315	.275	.239
16	.853	.728	.623	.534	.458	.394	.339	.292	.252	.218
17	.844	.714	.605	.513	.436	.371	.317	.270	.231	.198
18	.836	.700	.587	.494	.416	.350	.296	.250	.212	.180
19	.828	.686	.570	.475	.396	.331	.277	.232	.194	.164
20	.820	.673	.554	.456	.377	.312	.258	.215	.178	.149

Periods (n)	Interest rates (r) 11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	.901	.893	.885	.877	.870	.862	.855	.847	.840	.833
2	.812	.797	.783	.769	.756	.743	.731	.718	.706	.694
3	.731	.712	.693	.675	.658	.641	.624	.609	.593	.579
4	.659	.636	.613	.592	.572	.552	.534	.516	.499	.482
5	.593	.567	.543	.519	.497	.476	.456	.437	.419	.402
6	.535	.507	.480	.456	.432	.410	.390	.370	.352	.335
7	.482	.452	.425	.400	.376	.354	.333	.314	.296	.279
8	.434	.404	.376	.351	.327	.305	.285	.266	.249	.233
9	.391	.361	.333	.308	.284	.263	.243	.225	.209	.194
10	.352	.322	.295	.270	.247	.227	.208	.191	.176	.162
11	.317	.287	.261	.237	.215	.195	.178	.162	.148	.135
12	.286	.257	.231	.208	.187	.168	.152	.137	.124	.112
13	.258	.229	.204	.182	.163	.145	.130	.116	.104	.093
14	.232	.205	.181	.160	.141	.125	.111	.099	.088	.078
15	.209	.183	.160	.140	.123	.108	.095	.084	.074	.065
16	.188	.163	.141	.123	.107	.093	.081	.071	.062	.054
17	.170	.146	.125	.108	.093	.080	.069	.060	.052	.045
18	.153	.130	.111	.095	.081	.069	.059	.051	.044	.038
19	.138	.116	.098	.083	.070	.060	.051	.043	.037	.031
20	.124	.104	.087	.073	.061	.051	.043	.037	.031	.026

Cumulative present value tables

This table shows the Present Value of U$1 per annum, Receivable or Payable at the end of each year for n years

$$\frac{1-(1+r)^{-n}}{r}$$

Periods (n)	Interest rates (r) 1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	0.990	0.980	0.971	0.962	0.952	0.943	0.935	0.926	0.917	0.909
2	1.970	1.942	1.913	1.886	1.859	1.833	1.808	1.783	1.759	1.736
3	2.941	2.884	2.829	2.775	2.723	2.673	2.624	2.577	2.531	2.487
4	3.902	3.808	3.717	3.630	3.546	3.465	3.387	3.312	3.240	3.170
5	4.853	4.713	4.580	4.452	4.329	4.212	4.100	3.993	3.890	3.791
6	5.795	5.601	5.417	5.242	5.076	4.917	4.767	4.623	4.486	4.355
7	6.728	6.472	6.230	6.002	5.786	5.582	5.389	5.206	5.033	4.868
8	7.652	7.325	7.020	6.733	6.463	6.210	5.971	5.747	5.535	5.335
9	8.566	8.162	7.786	7.435	7.108	6.802	6.515	6.247	5.995	5.759
10	9.471	8.983	8.530	8.111	7.722	7.360	7.024	6.710	6.418	6.145
11	10.368	9.787	9.253	8.760	8.306	7.887	7.499	7.139	6.805	8.495
12	11.255	10.575	9.954	9.385	8.863	8.384	7.943	7.536	7.161	6.814
13	12.134	11.348	10.635	9.986	9.394	8.853	8.358	7.904	7.487	7.103
14	13.004	12.106	11.296	10.563	9.899	9.295	8.745	8.244	7.786	7.367
15	13.865	12.849	11.938	11.118	10.380	9.712	9.108	8.559	8.061	7.606
16	14.718	13.578	12.561	11.652	10.838	10.106	9.447	8.851	8.313	7.824
17	15.562	14.292	13.166	12.166	11.274	10.477	9.763	9.122	8.544	8.022
18	16.398	14.992	13.754	12.659	11.690	10.828	10.059	9.372	8.756	8.201
19	17.226	15.679	14.324	13.134	12.085	11.158	10.336	9.604	8.950	8.365
20	18.046	16.351	14.878	13.590	12.462	11.470	10.594	9.818	9.129	8.514

Periods (n)	Interest rates (r) 11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	0.901	0.893	0.885	0.877	0.870	0.862	0685	0.847	0.840	0.833
2	1.713	1.690	1.668	1.647	1.626	1.605	1.585	1.566	1.547	1.528
3	2.444	2.402	2.361	2.322	2.283	2.246	2.210	2.174	2.140	2.106
4	3.102	3.037	2.974	2.914	2.855	2.798	2.743	2.690	2.639	2.589
5	3.696	3.605	3.517	3.433	3.352	3.274	3.199	3.127	3.058	2.991
6	4.231	4.111	3.998	3.889	3.784	3.685	3.589	3.498	3.410	3.326
7	4.712	4.564	4.423	4.288	4.160	4.039	3.922	3.812	3.706	3.605
8	5.146	4.968	4.799	4.639	4.487	4.344	4.207	4.078	3.954	3.837
9	5.537	5.328	5.132	4.946	4.772	4.607	4.451	4.303	4.163	4.031
10	5.889	5.650	5.426	5.216	5.019	4.833	4.659	4.494	4.339	4.192
11	6.207	5.938	5.687	5.453	5.234	5.029	4.836	4.656	4.486	4.327
12	6.492	6.194	5.918	5.660	5.421	5.197	4.968	4.793	4.611	4.439
13	6.750	6.424	6.122	5.842	5.583	5.342	5.118	4.910	4.715	4.533
14	6.982	6.628	6.302	6.002	5.724	5.468	5.229	5.008	4.802	4.611
15	7.191	6.811	6.462	6.142	5.847	5.575	5.324	5.092	4.876	4.675
16	7.379	6.974	6.604	6.265	5.954	5.668	5.405	5.162	4.938	4.730
17	7.549	7.120	6.729	6.373	6.047	5.749	5.475	5.222	4.990	4.775
18	7.702	7.250	6.840	6.467	6.128	5.818	5.534	5.273	5.033	4.812
19	7.839	7.366	6.938	6.550	6.198	5.877	5.584	5.316	5.070	4.843
20	7.963	7.469	7.025	6.623	6.259	5.929	5.628	5.353	5.101	4.870